

**BEFORE THE
FEDERAL MARITIME COMMISSION**

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

PUERTO RICO PORTS AUTHORITY'S BRIEF EXCEPTION

(Re: The Commission's *Initial Decision*)

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the "PRPA"), through its undersigned counsel, and respectfully states and requests as follows:

On March 30, 2021, the Honorable Erin M. WIRTH, Chief Administrative Law Judge, issued a thorough *Initial Decision* concluding that PRPA is entitled to sovereign immunity as an arm of the Commonwealth of Puerto Rico, as related to the implementation of its cargo scanning program. As such, the Commission dismissed, *with prejudice*, Toyota de Puerto Rico Inc.'s Verified Complaint. PRPA fully agrees with the decision and files the instant review only addressing a very limited and specific point: the expression at page 8 ¶ 5 of the *Initial Decision* characterizing Footnote 6 of the *Dantzler, Inc. v. Empresas Berrios Inventory & Operations, Inc.*, 958 F.3d 38 (1st Cir. 2020), Opinion as "dicta." PRPA believes that besides being "relevant and persuasive authority," as the *Initial Decision* underscores, that footnote entailed the alternative ruling by the First Circuit Court of Appeals and a second grounds for dismissal.

PRPA understands that as an alternative ruling Footnote 6 has a preclusive effect on the named parties in the *Dantzler, et al*, litigation. As such, an expression characterizing that alternative ruling as “dicta” could have ramifications aside the present case, which were not intended by the Hon. Chief Administrative Law Judge. We explain.

The First Restatement of Judgments support PRPA’s position and provides that a decision based on alternative grounds “is determinative on both grounds, although either alone would have been sufficient to support the judgment.” Restatement of Judgments § 68, Comment *n* (1942). Although the United States Supreme Court has never decided the issue, Chief Justice Thomas, Justice Alito, and Justice Kavanaugh recently expressed their support to this approach. *Herrera v. Wyoming*, 139 S.Ct. 1686, 1703 (May 30, 2019) (Dissenting opinion).

Said approach is even more clear and convincing in the context of a declaratory judgment action, just like the *Dantzler* litigation. “Since the very purpose of declaratory relief is to achieve a final and reliable determination of legal issues, there should be no quibbling about the necessity principle. Every issue that the parties have litigated and that the court has undertaken to resolve is necessary to the judgment, and should be precluded.” 18 Wright, Federal Practice and Procedure § 4421, at 630; see *Henglein v. Colt Industries Operating Corp.*, 260 F. 3d 201, 212 (CA3 2001)

Accordingly, PRPA very respectfully requests that the Hon. Chief Administrative Law Judge Judge and/or the Commission take notice of this issue of first impression and review its *Initial Decision* to reflect that Footnote 6 entails an alternative ruling rather than “dicta,” in order to avoid any potential unintended consequences outside of the present case.

WHEREFORE, PRPA very respectfully requests that this Honorable Commission **GRANT** its request to amend the expression “dicta” at page 8 ¶ 5 of the *Initial Decision* to reflect that Footnote 6 of the *Dantzler* decision entailed an alternative ruling.

PRPA's Brief Exception

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Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys and participants of record: (a) counsel for **Toyota de Puerto Rico Corp.** - Rafael Escalera Rodriguez, Esq. (escalera@reichardescalera.com), Sylvia M. Arizmendi, Esq. (arizmendis@reichardescalera.com), Alan M. Vizcarrondo Santana, Esq. (vizcarrondo@reichardescalera.com), Zarel J. Soto Acaba, Esq. (zsoto@reichardescalera.com); (b) counsel for **Crowley Puerto Rico Services, Inc.** – Marc J. Fink, Esq. (mfink@cozen.com), Wayne R. Rohde, Esq. (wrohde@cozen.com) and Matthew Howell, Esq. (mhowell@cozen.com); and (c) counsel for **Oceanic General Agency Inc.** – Henry P. Gonzalez (gonzalez@gdvlegal.com) and Jose E. Alfaro Delgado (joseealfaro@yahoo.com).

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 21st day of April, 2021.

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